

arrangement to the type of accounts that automatically go to the child at age eighteen. If your child is not mature enough for the money, you get to keep it or do something else with it.

Keep in mind that if nobody uses the funds for higher education, you may have to pay taxes and penalties. The penalties are reduced or eliminated, however, in the event that your child gets a scholarship and doesn't need the money.

Coverdell Education Savings Accounts (ESAs)

You can contribute up to \$2,000 per year in this type of account, formerly known as an "Education IRA." This can add up, especially if you have several children (or grandchildren), since you can contribute \$2,000 annually to separate ESAs set up for each child (or grandchild). Annual contributions are allowed up until the account beneficiary, or the college-bound child, turns eighteen.

If you are unmarried, your ability to make ESA contributions is phased out between adjusted gross income of \$95,000 and \$110,000. For joint filers, the phaseout range is between \$190,000 and \$220,000. ESA earnings build up tax free, and then the money can be withdrawn (also tax-free) to pay the account beneficiary's college expenses. Like contributions to Roth IRAs, ESA contributions are nondeductible, but the tax-free withdrawal privilege makes up for that. If the beneficiary doesn't attend college or doesn't incur enough expenses to exhaust his or her account, the balance can be rolled over tax free into another family member's ESA.

You can also take tax-free ESA payouts to cover the account beneficiary's elementary and secondary school (K-12) costs. Eligible expenses include tuition and fees to attend private and religious schools, room, board, uniforms, and transportation. Other eligible expenses include books and supplies, academic tutoring, computers, peripheral equipment and software, and even Internet access charges. You have until April 15 of the following year to make your ESA contribution for the tax year in question. For example, you can make your 2012 ESA contribution as late as April 15, 2013.

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